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Adjustments:

a) The closing stock on 31st December, 2017 was valued at ` 3,900.
b) Carriage inwards prepaid ` 250
c) Rent received in advance ` 100
d) Manager is entitled to receive commission @ 5% of net profit after providing such commission.

(**Answer**: Gross profit ` 6,900; Manager's commission ` 400; Net profit ` 8,000; Balance sheet total ` 15,900)

24. From the following information, prepare trading and profit and loss account and balance sheet in the books of Sangeetha for the year ending 31st March, 2018.

Debit balance	`	Credit balance	`
Capital	20,000	Salaries	6,600
Bills receivable	8,000	Establishment expenses	4,500
Bills payable	10,500	Advertisement	2,300
Purchases	75,000	Furniture	10,000
Sales	95,000	Cash at bank	3,200
Opening stock	12,000	Miscellaneous receipts	600
Drawings	4,500		

Adjustments:

a) Stock on 31st March, 2018 ` 14,200
b) Income tax of Sangeetha paid ` 800
c) Charge interest on drawings @ 12% p.a.
d) Provide managerial remuneration @ 10% of net profit before charging such commission.

(**Answer**: Gross profit ` 22,200; Manager's commission ` 794; Net profit ` 7,146; Balance sheet total ` 34,600)